

bad year or two, you are out of business. Survival must always be the first priority and this means starting out at a comfortable scale, making sure you are able to handle a bad period, even if it happens to come along at the very start.

I hope my attempts at giving a fair and balanced picture of the reality that faces a trend-following futures manager has not discouraged you from getting into the business. For all the possible pitfalls, this is still a very good business to be in and even with the diminishing returns of the past years, there are no real signs that cross-asset trend following should not be profitable in the future.

■ Going Live

Fast-forward some years, and after reading this book and a few more, you have spent years doing all your research. You constructed your own quant modelling environment, studied statistics and programming, and designed your very own trading algorithms. Then you went out there in the real world and fought the harsh street-by-street battle of seed capital raising and you got enough together to actually start. Now what?

The all-too-common confusion is what to do on the very first day. You could start off with a big pile of cash, and only take new positions when your model gives you a trading signal. This means that it may take some time for you to reach a full portfolio, but you would only get fresh signals rather than risking an entry in the middle of a trend. Makes perfect sense, doesn't it?

The only problem is that this doesn't make any sense, if you stop and think for a moment. If you only take the new signals, your actual portfolio will deviate substantially from your backtest and research. By making that choice, you also made the assumption that new signals are more valid and more likely to be profitable than signals that open other positions. What we have seen so far in this book is that diversification is key and that you simply can't predict which markets or sectors will perform best in the future.

It is the interaction between positions which makes diversified futures strategies so interesting. The vast potential for such diversification is unique to the futures space and this is what we need for our strategies to be successful in the long run. By taking only fresh signals, it will take you quite some time before your portfolio becomes fully diversified and until then your risk will be highly concentrated on more or less random positions and sectors, depending on the order and timing of new signals.